

for corporate governance coming apart. In short, it comes down to business practices being compromised. In the recent past, one has seen a serious eruption of this in various forms at BharatPe, Trelle and Zilingo, with an apprehension that many more will follow. It is a tough situation to be in and a few (but large) rotten apples can quite effortlessly play havoc with an industry that, in many ways, is an indication of India's vast talent pool.

GROW, GROW, GROW

Conversations with VCs throw open the issue. The credo is "grow fast at any cost" and that, in many instances, was followed blindly. Over the past decade, interest rates were low in overseas markets, and money came like an avalanche into India. "Everyone looked at growth here, and with abundant cash, it made for a heady cocktail. That model was never sustainable since it ignored the quality of growth, and the fundamentals of a business to generate free cash flows," says Siddharth Pai, Founding Partner, zone4 Capital, an early-stage VC firm based in Bengaluru.

The interesting part is not so much about the landscape being dominated by the biggies—Tiger Global, Sequoia, Lighthouse, Matrix and Accel—but rather the limited presence of Indian investors. Pai thinks the public markets, to Indian VCs, are more comfortable for obvious reasons. "Apart from having a privileged position in terms of taxation and regulations vis-à-vis the unlisted market, investment decisions could be based on metrics they are comfortable with such as profitability, PE ratios and earnings per share. Startups on that frenetic growth path rarely make the cut here as these metrics would come later on in their journey, provided they have strong fundamentals and margins."

The tremors had been felt globally for a couple of years. Messy cases of start-ups such as Uber, Snap or WeWork came to the fore. "We have seen valuations doubling in a year in India for some entities without a remarkable change in the business model," says Umesh Uttamchandani, Co-founder and Principal at DevX Venture Fund that mentors entrepreneurs to bring their products/services

WITH LITTLE ACCOUNTABILITY, THE PROMOTER RUNS RIOT, AND POOR GOVERNANCE SPIRALS OUT OF CONTROL



"There has to be a collaborative relationship between investors and founders, with high levels of transparency... you have to let the founders be, and only look for ways to help them build a strong foundation"

ANIRUDH DAMANI

MANAGING PARTNER, ARTHA VENTURE FUND



"Investors must understand the complexity as well as the potential of the sector. That means being patient and realising that there is no place for 5x or 10x growth each year. Ideally, promoters must ask why an investor is coming in"

DEENA JACOB

CO-FOUNDER & CFO, OPEN